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DJIA 39593.66 ▼ 1014.79 2.50% NASDAQ 16387.31 ▼ 4.3% STOXX 600 487.28 ▲ 3.7% 10-YR. TREAS. (Reopening) yield 4.392% OIL \$60.07 ▼ \$2.28 GOLD \$3,155.20 ▲ \$98.70 EURO \$1.1201 YEN 144.45

What's News

Business & Finance

◆ **U.S. stocks fell amid** an escalating trade war despite U.S. efforts to negotiate ad hoc tariff deals with scores of countries other than China. The S&P 500, Nasdaq and Dow shed 3.5%, 4.3% and 2.5%, respectively. **A1, A5**

◆ **Beijing said it would** reduce the number of U.S. film imports in the latest tit-for-tat retaliation against Trump's higher tariff on China. **B2**

◆ **DuPont is under** regulatory investigation in China in a reprise of the pressure Beijing put on the U.S. company during the president's first-term trade war. **B1**

◆ **Prada said it would** acquire Versace from fashion conglomerate Capri Holdings for \$1.38 billion, salvaging a deal that was at risk of collapsing because of market upheaval. **B1**

◆ **Former Abercrombie & Fitch boss Mike Jeffries** is suffering from dementia and is unfit to stand trial for alleged sex crimes, according to a court filing released on Thursday. **B1**

◆ **Amazon.com CEO Andy Jassy** used his annual letter to shareholders to tout the company's vision of how generative AI will be critical to the company's next phase of growth. **B1**

◆ **Fast Retailing boosted** its annual earnings forecast, expecting another year of record profit as first-half sales continued to grow in North America and other markets. **B3**

◆ **STMicroelectronics said** it would cut nearly 3,000 jobs through 2027 as the European chip maker seeks to revamp its fortunes after months of lackluster sales. **B4**

World-Wide

◆ **House Republicans** narrowly approved the blueprint for Trump's budget legislation after a late push by party leaders that won over some holdouts who wanted bigger spending cuts. **A2**

◆ **The House passed** a bill that would require proof of citizenship for voters to register for federal elections, advancing a measure Democrats say could create problems for U.S. citizens. **A2**

◆ **The Supreme Court** told the Trump administration to seek the return of a migrant mistakenly sent to a Salvadoran prison, rebuffing claims that it need do nothing to remedy its error. **A3**

◆ **Six people, including** three children and the pilot, died when a Bell 206 helicopter crashed into the Hudson River near New York City. **A3**

◆ **Chinese officials** acknowledged in a secret December meeting that Beijing was behind a widespread series of alarming cyberattacks on U.S. infrastructure. **A1**

◆ **The Trump administration** plans to move to give a judge power to ensure Columbia University alters its practices along lines approved by the federal government. **A2**

◆ **A number of large law firms** are in discussions with the White House to reach deals that would avert restrictions on their business by promising to do pro bono work that Trump supports. **A3**

◆ **In a prisoner swap** with the U.S., Moscow released a U.S.-Russian dual national who was convicted and incarcerated for donating a small sum to a Ukrainian charity. **A16**

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Trade-War Jitters Batter Stocks

Dow industrials, S&P 500 give back some gains from Wednesday's rally

By KRYSTAL HUR

Wall Street's giddiness over President Trump's tariff pause gave way Thursday to the grim realities of an escalating trade war between the world's two largest economies.

U.S. stocks tumbled, erasing some of the gains from a historic rally. The flashpoint for Wednesday's run-up had been a social-media post by the president that announced he would pause some tariffs on most countries. A day later,

investors zeroed in on the other part of the same Truth Social post: "I am hereby raising the Tariff charged to China by the United States of America to 125%, effective immediately."

On Thursday, the White House clarified that the tariffs Trump imposed on China this year total 145%.

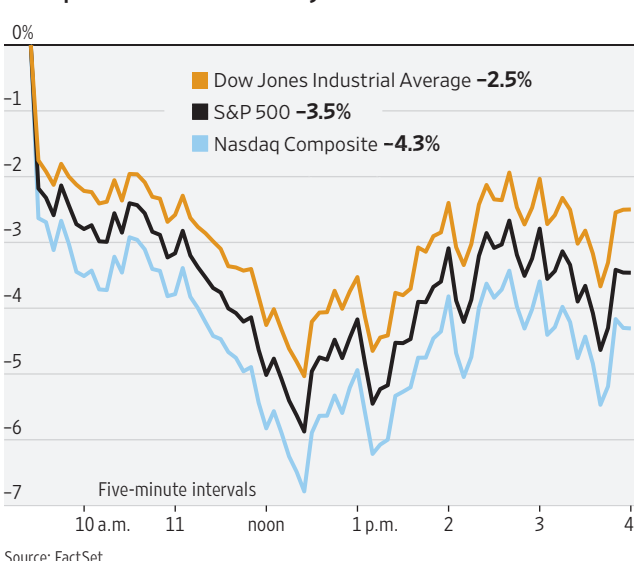
The Dow Jones Industrial Average fell 2.5%, or 1,014.79 points. The S&P 500 declined 3.5%, and the Nasdaq Composite lost 4.3%.

Japanese stocks fell early Friday with the Nikkei 225 down more than 4%. Stocks

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◆ **Treasury yields ease after pause on tariffs..... B9**

Index performance on Thursday



The Magnificent Seven tech stocks, among Wednesday's big winners after President Trump delayed tariffs, sank Thursday.

President's Trade Guru Navarro Is Down, Not Out

WASHINGTON—Wall Street loathes him. His policy prescriptions give Republican lawmakers heartburn. Elon Musk thinks he's a moron.

By Alex Leary, Lindsay Wise and Gavin Bade

And after President Trump paused many new tariffs on Wednesday, the man he calls "my Peter" might be down. But he's not out.

Apart from Trump, no one is more associated with the tariffs rocking the globe than Peter Navarro, the scrappy trade hawk who helped design the much-maligned formula for Trump's reciprocal levies. He has Trump's ear and his loyalty: As the president privately reminded a group in the Oval Office recently, Navarro went to jail for him.

Navarro, 75 years old, has been an unflinching influence as markets convulse and recession fears grow, helping craft Trump's tariff policy and protect it against moderating voices in the administration. A former college professor and California Democrat plucked from obscurity to advise the 2016 campaign on China, Navarro has held sway with the president for years.

"Peter has endured because he believes the same things the president does—that America is a country worth saving, that the American worker is the finest in the world and that the globalists are both wrong and evil," said

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◆ **Democrats see tariff chaos as political tool..... A6**
◆ **Tariffs, recession fear undermine oil market..... B1**

U.S.-China Battle Spares No One

Untangling the two economies has profound implications for businesses, consumers

The gloves are off. The next chapter of U.S.-China decoupling has begun. The pain will be felt everywhere. In jacking up his tariffs on China—

By Jason Douglas, Konrad Putzier, Ruth Simon and Raffaele Huang

and pausing steep duties on dozens of other nations—President Trump is pushing the world's two biggest economic powers into a battle that will leave nei-

ther unscathed and risks tanking the global economy.

The total tariffs imposed on China in Trump's second term now add up to 145%, the White House said Thursday. They could eventually be walked back, but already, there are signs that a portion of the \$582 billion in goods trading between the two countries is grinding to a halt. U.S. factories are canceling orders and some Chinese manufacturers are putting workers on temporary leave. Data has shown a sharp decline in trans-

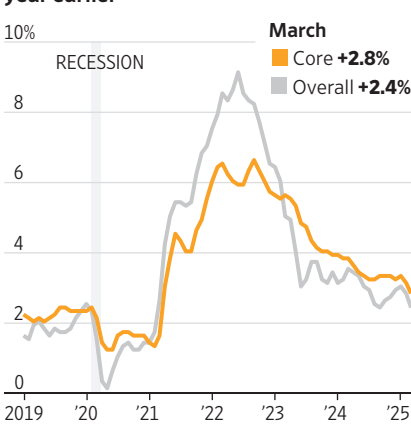
Pacific ship bookings since some of the latest tariff escalations began.

Arlen Nercessian, a Temecula, Calif.-based kitchen-equipment importer, messaged his Chinese agent on Wednesday to hold his latest shipment of cast-aluminum plates when he heard that Trump was pushing up tariffs—but it was too late. He said that without a deal

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◆ **DuPont is target of Beijing probe..... B1**
◆ **China's financial weapons..... B10**

Consumer-price index, change from a year earlier



Note: Core excludes food and energy prices. Source: Labor Department

March Inflation Cooled

The consumer-price index fell a seasonally adjusted 0.1% in March—a welcome development for inflation-weary families, but one that economists said is likely to be short-lived because of new import tariffs that took effect April 2. **A4**

Chinese Officials Signal Beijing Behind Infrastructure Hacks

By DUSTIN VOLZ

WASHINGTON—Chinese officials acknowledged in a secret December meeting that Beijing was behind a widespread series of alarming cyberattacks on U.S. infrastructure, according to people familiar with the matter, underscoring how hostilities between the two superpowers are continuing to escalate.

The Chinese delegation linked years of intrusions into computer networks at U.S. ports, water utilities, airports and other targets to increasing U.S. policy support for Taiwan, said the people, who declined to be named.

The first-of-its-kind signal at a Geneva summit with the outgoing Biden administration startled U.S. officials used to hearing their Chinese counterparts blame the campaign, which security researchers have dubbed Volt Typhoon, on a criminal outfit, or accuse the U.S. of having an overactive imagination.

U.S. officials went public last year with unusually dire

warnings about the uncovered Volt Typhoon effort. They publicly attributed it to Beijing's trying to get a foothold in U.S. computer networks so its army could quickly detonate damaging cyberattacks during a future conflict.

The Chinese official's remarks at the December meeting were indirect and somewhat ambiguous, but most of the U.S. delegation in the room interpreted it as a tacit admission and a warning to the U.S. about Taiwan, a former U.S. official familiar with the meeting said.

In the months since the meeting, relations between Washington and Beijing—locked in a trade war—have sunk to new lows. Trump administration officials have said the Pentagon will pursue more offensive cyber strikes against China. Beijing has continued to mine its access to U.S. telecommunications networks enabled by a separate breach, attributed to Salt Typhoon, U.S. officials and lawmakers said.

The administration also plans to dismiss hundreds of

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Wall Street's Wild Ride Was News at the Masters

Augusta National is one of the last places where fans are forced to disconnect

By ANDREW BEATON

AUGUSTA, Ga.—Steven Vernon III and Kage Brown should have been glued to the stock market this week.

Vernon works in finance while Brown is the chief investment officer at a real-estate firm. But on Wednesday, these friends from Chicago

were among the only people in their orbit not thinking about tariffs.

That's because they were holed up inside one of the few places on earth where tens of thousands of people who would've been feverishly checking their portfolios instead willingly left their

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